

Identification Guidelines

Island reversals are easy to identify, and [Table 45.1](#) shows the identification characteristics.

Appearance. Both types of reversals, tops and bottoms, are set off by gaps. The gaps appear at or near the same price level but are typically not the same size. The large breakaway gap marked as point B in [Figure 45.1](#) (on the far right) makes this clear. That gap is almost \$5 tall while the one on the left (point A) is only 38 cents tall.

As far as identification goes, the gap in mid-December 1991 (point C) should not be paired with the gap in late October (point A) since they do not share a common price. Even though the price pattern looks like an island because it is set off by gaps, it is not an island reversal by the traditional definition. The gaps must overlap price or be quite close to one another. In this study, all islands have price gaps within 13 cents of one another and are at least 25 cents or larger. In addition, I did not consider one-day reversals (islands composed of 1 day) as part of this study. I believe that such islands are too difficult on which to base an effective trading policy.

Price trends. Consider [Figure 45.2](#), which shows several island reversals. The first two islands on the left happen as part of a quick retrace in a longer downtrend. The small island tops last for about a week before price resumes its downward move.